

GUARANTY HOLDINGS OF CALIFORNIA, INC. v CATTANEO

20CV44713

DEFENDANTS' DEMURRER AND MOTION TO STRIKE PORTIONS OF FIRST AMENDED COMPLAINT

This case involves a landlord-tenant dispute over the condition of the residence after being surrendered back to the homeowner. At the core of the dispute is Defendants' removal of floating boat dock and other items on the property owned by Plaintiff Guaranty Holdings of California, Inc ("GHOC"). The First Amended Complaint (FAC) was filed on May 27, 2023. As against all Defendants, including Bernadette Cattaneo ("Cattaneo") and David Robinson ("Robinson") (collectively "Moving Defendants") the FAC alleges causes of action for conversion and receipt of stolen property. As against Defendant Christopher Dufresne ("Dufresne") and the Estate of Sylvia Brown ("Estate") the FAC also alleges a cause of action for fraud. As against Cattaneo, the FAC also alleges a cause of action for private nuisance. Now before the Court are the Moving Defendants' Demurrer and Motion to Strike Portions of the First Amended Complaint.

The Court denies the Request for Judicial Notice as to: (A) the obituary as irrelevant, and grants as to (B) and (C) as these are government agency documents, though the Court did not find them relevant to its analysis and decision.

I. Factual Background

In or about December 2018, GHOC purchased the residence known as 108 Sanguinetti Court, Copperopolis, California (the "Residence") at a Trustee's Sale. At the time GHOC purchased the Residence, Dufresne occupied the Residence and owed approximately \$400,000.

Following GHOC's purchase of the Residence, counsel for GHOC and counsel for Dufresne and the Estate, entered into negotiations regarding when Dufresne would vacate the Residence. In January 2019, GHOC's former attorney received a letter dated January 9, 2019, signed by Dufresne (hereinafter "the Letter") that read, in pertinent part:

This letter is meant to serve as my written assurance to you that I Christopher Michael Dufresne have no intentions of stripping or removing the dock, lift, fixtures or anything else from property address: 108 Sanguinetti Ct. Copperopolis, CA 95228."

GHOC alleges that in reliance on the Letter, it did not take any additional precautions prior to May 8, 2019, to secure the fixtures affixed to the Residence as real and not personal property.

Calaveras County Superior Court ordered Dufresne and the Estate to vacate the residence on or before May 9, 2019. Plaintiff alleges that Defendants Dufresne, Robinson, Cattaneo, Holman, and others “acted in concert” to remove the following fixtures that were affixed to the real property of the Residence: 1) A marine dock attached to the Residence; 2) Three (3) ceiling fans; 3) Lights; 4) Several Viking refrigerators; 5) Wine cooler; and 6) Kitchen Aid refrigerator (collectively, “the Property”). At the core of the dispute is Defendants’ removal of the floating boat dock (“Dock”).

Plaintiff alleges that the Property is worth approximately \$205,000.00.

According to GHOC, it later learned that Dock was taken by Moving Defendants and the other defendants to the Resort, where it remained for several years. GHOC believes that the Dock has since been damaged beyond repair and is no longer at the Resort.

Thereafter, GHOC incurred costs in excess of \$165,000 to replace Dock at the Residence. However, following installation of the new dock, Cattaneo and others with control of the Residence began intentionally blocking GHOC’s access to the new dock.

II. Standard for Demurrer

“A demurrer tests the sufficiency of a complaint and admits all facts properly pleaded.” (*Setliff v. E.I. Du Pont de Nemours & Co.* (1995) 32 Cal. App. 4th 1525, 1533.) The court assumes the truth of the allegations asserted but does not assume the truth of “contentions, deductions, or conclusions of law.” (*California Logistics, Inc. v. State of California* (2008) 161 Cal. App. 4th 242, 247.) The court can further look at those facts that “reasonably can be inferred from those expressly pleaded, and matters of which judicial notice has been taken.” (*Fremont Indemnity Co. v. Fremont General Corp.* (2007), 148 Cal.App.4th 97, 111.) If a complaint does not sufficiently state a cause of action, “but there is a reasonable probability that a defect can be cured by amendment, leave to amend must be granted.” (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal. 4th 26, 38.)

Moving Defendants asserts that the FAC is subject to demurrer pursuant to Civ. Code 430.10 (e) (failure to state a claim) and 430.10(f) (uncertainty). “[D]emurrers for uncertainty are disfavored, and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” (*Mahan v. Charles W. Chan Ins. Agency, Inc.* (2017) 14 Cal.App.5th 842, 848 fn.3 [citing *Lickiss v. Financial Industry Regulatory Authority* (2012) 208 Cal.App.4th 1125, 1135].)

III. Analysis

A. Conversion

“Conversion is the wrongful exercise of dominion over the property of another. The elements of a conversion claim are: (1) the plaintiff’s ownership or right to possession of the property; (2) the defendant’s conversion by a wrongful act or disposition of property rights; and (3) damages....” (*Lee v. Hanley* (2015) 61 Cal.4th 1225, 1240, internal citation and quotations omitted.) In order to prove a cause of action for conversion, “the plaintiff must show the defendant acted intentionally to wrongfully dispose of the property of another.” (*Duke v. Sup. Ct.* (2017) 18 Cal.App.5th 490, 508, citation omitted.)

The FAC alleges that GHOC purchased the Residence and that there was an understanding between GHOC and Dufresne that all fixtures would remain on the Residence, including the Dock. (FAC ¶¶ 12, 15.) GHOC next alleges that Cattaneo and Robinson acted in concert with other defendants to wrongfully remove the Property. (FAC ¶ 18.) Finally, GHOC alleges that as a result of the wrongful removal of the Property, it was damaged in excess of \$200,000.00.¹

GHOC has stated a cause of action for conversion. Accordingly, **the demurrer is overruled as to the first cause of action.**

B. Receipt of Stolen Property (Penal Code §§ 496(A) and (C))

Penal Code section 496(a) provides:

Every person who buys or receives any property that has been stolen or that has been obtained in any manner constituting theft or extortion, knowing the property to be stolen or obtained, or who conceals, sells, withholds, or aids in concealing, selling, or withholding any property from the owner, knowing the property to be stolen or obtained, shall be punished by imprisonment in a county jail for not more than one year, or imprisonment pursuant to subdivision (h) of Section 1170.

¹ Defendants made a lengthy argument about whether the floating dock is readily moveable and whether under the factual circumstances the dock is personal or real property. In support, Defendants cite to a 1983 letter from the California Board of Equalization regarding floating docks in a completely different lake in a different part of California. While the Court takes judicial notice of the letter as requested, the letter is irrelevant to the issues on demurrer. Undermining Defendants’ argument is the fact that within that letter it specifically states that whether something is a fixture or not is “one of fact to be determined from the evidence in a particular case.” Defendants’ reliance on statements made in depositions are also improper at the demurrer stage.

Penal Code section 496(c) provides:

Any person who has been injured by a violation of subdivision (a) or (b) may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney's fees.

Moving Defendants argue that the FAC fails to state a claim for this cause of action because Penal Code section 496(a) also states: "no person may be convicted both pursuant to this section and of the theft of the same property." They argue that because the FAC alleges that they committed the wrongfully taking of the Property, they cannot also be liable for receiving those stolen goods.

Moving Defendants argument is misplaced. First, the language in Section 496(a) states that person cannot be *convicted* of both the crime of theft and of receiving stolen property. (See, *People v. Jaramillo* (1976), 16 Cal.3d 752, 757 [stating it is a "fundamental principal that one may not be convicted of stealing and of receiving the same property"].) It does not state that a person cannot be civilly liable under subsection (c) for both taking and receiving stolen property. Further, there is legal authority to the contrary. (See *Siry Investment L.P. v. Fakhondehpour* (2022) 13 Cal. 5th 333 [limited partner could bring a civil cause of action under section 496(c) against general partner and others even where the defendants had both undertaken the theft and received the stolen property].)

Moving Defendants also argue that this cause of action is barred by the three year statute of limitations set forth in Penal Code section 801. They assert that the FAC alleges the theft occurred on May 8, 2019 but the FAC was not filed until May 17, 2023. This argument is also without merit. Under the relation-back doctrine, an amended complaint will relate back to the date the original complaint was filed if the amended complaint: "(1) rests on the same general set of facts; (2) involves the same injury; and (3) refers to the same instrumentality as the original complaint." (*Norgart v. Upjohn Co.* (1999), 21 Cal.4th 383, 409.) An amended complaint "relates back to the original complaint even if the plaintiff alleges a new legal theory or cause of action, so long as the amended complaint is based on the same general set of facts." (*Hutcheson v. The Superior Court* (2002), 74 Cal.App.5th 932, 940.) Here the original complaint which was timely filed and the FAC allege a nearly identical set of facts, causation, and injury. Accordingly, Defendant's statute of limitations argument is meritless.

Accordingly, **the demurrer as to the second cause of action for receipt of stolen property is overruled.**

C. Fraud

The FAC alleges a cause of action for fraud against Dufresne and the Estate but not against the Moving Defendants. Accordingly, **the demurrer to this cause of action is moot as to the Moving Defendants.**

D. Private Nuisance

A private nuisance includes “[a]nything which is injurious to health . . . or is indecent or offensive to the senses, or an obstruction to the free use of property, so as to interfere with the comfortable enjoyment of life or property.” (Civ. Code, § 3479.)”

GHOC alleges it owns the Dock and that Cattaneo purposefully installed, maintained, and positioned structures on Tulloch Reservoir to intentionally block GHOC’s access to the new dock. The allegation that Cattaneo obstructed GHOC’s access to the new dock and therefore the use and enjoyment of the dock is the type of physical interference with land use that “constitutes the most obvious and common type of nuisance.” (*Rancho Viejo v. Tres Amigos Viejos* (2002), 100 Cal.App.4th 550, 561 [citing 11 Witkin, Summar of Cal. Law (9th ed. 1990) Equity, § 126, p. 807.]

Moving Defendants argue that the FAC fails to state a claim for private nuisance because there is no allegation that Cattaneo owns the neighboring property where the obstructions apparently were placed. However, Moving Defendants fail to cite any legal authority that would require GHOC to allege Cattaneo owns the neighboring land in order to make claim for private nuisance. Moving Defendants also refer to photographs that show the obstructions are small and therefore could not be a nuisance. Reference to matters outside the pleadings, unless subject to judicial notice, is not proper at the demurrer stage. (*Kanter v. Reed* (2023), 92 Cal.App.5th 191, 203.)

GHOC has stated a cause of action for private nuisance and accordingly **the demurrer to this cause of action is overruled.**

E. Motion To Strike Punitive Damages

Punitive damages are recoverable where a plaintiff proves “by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice.” (Civ. Code, § 3294.) Relevant to this case, “malice” means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of rights or safety of others. (*Ibid.*) “Oppression” means conduct that subjects a person to “cruel and unjust hardship in conscious disregard of that persons’ rights.” (Civ. Code. §3294(c)(2).)

The proper standard for a motion to strike punitive damages is whether plaintiff has alleged “ultimate facts” showing an entitlement to exemplary damages. (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255.) Here, the FAC states that Cattaneo and Robinson willfully and with malice stole the Property and refused to return it to GHOC. The FAC further alleges that Cattaneo willfully and with malice intentionally blocked GHOC’s access to its new dock.

The FAC’s allegations have simply pleaded a claim for punitive damages in the language of the statute authorizing punitive damages. While this is not objectionable when sufficient facts are alleged to support the allegation, here the FAC lacks ultimate

facts showing a punitive damages claim. (See *Perkins v. Superior Court* (1981) 117 Cal.App.3d 1, 6 [citation omitted].)

Moving Defendants' motion to strike reference to punitive damages is granted, with 20 (twenty) days leave to amend.

F. Motion to Strike Reference to "Time and Money Spent"

Moving Defendants move to strike reference to "time and money spent" as part of the receipt of stolen property claim. (FAC ¶ 43.) Cal. Civil Code section 3336 allows for compensation for time and money spent in pursuit of converted property. In the prayer for relief, the FAC is clear that compensation for "time and money spent" is related to the conversion claim alone.

The motion to strike reference to "time and money spent" in Paragraph 43 is denied.

IV. Summary of rulings

The demurrer is overruled as to causes of action 1, 2, and 4. It is moot as to cause of action 3. The motion to strike punitive damages is granted, with leave to amend. The motion to strike Paragraph 43 is denied.

The Clerk shall provide notice of the Ruling forthwith. Plaintiff to prepare a formal Order in conformity with these rulings pursuant to CRC 3.1312..

FORD v GREENHORN GOLF, LLC.

23CV47102

PLAINTIFF'S MOTION FOR PRELIMINARY INJUNCTION

Plaintiff's motion for preliminary injunction is on calendar for July 26, 2024. Defendant has requested a continuance of thirty days to obtain and analyze the relevant Parcel Map to determine if Plaintiff's claims in the Reply are correct. The court finds there is good cause for Defendant's request and grants the same. Accordingly, **the matter is continued to August 30, 2024, at 9:00 am in Department 2.**